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Stanbic Bank
A member of Standard Bank Group

Stanbic Holdings FY'2025 Earnings Note

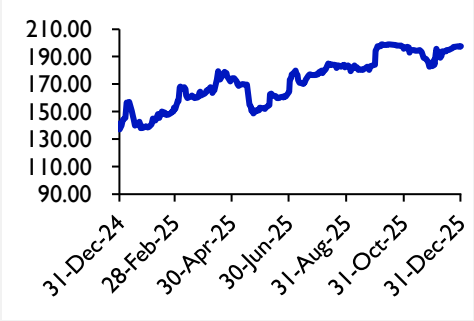


Stanbic Bank FY'25 Earnings Note

March 24th, 2026

Ticker Information	
NSE Code:	SBIC
Issued Shares:	396,321,638
52-week high:	KES 270.00
52-week low:	KES 90.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	8.1%	7.3%	20.2%	44.1%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
HOLD	**KES 258.75**	**KES 243.03**

Summary

- **Stanbic Holdings Plc reported a largely flat earnings performance in FY'25, with profit after tax remaining stable at KES 13.72Bn.** The performance was characterized by a contraction in total operating income to KES 38.51Bn, offset by a significant reduction in credit impairment charges.
- **The Board of Directors recommended a final dividend of KES 18.55 per share,** underscoring the continued commitment to generate shareholder returns**.**

Key Highlights

- **Income Drivers:** Total operating income declined to KES 38.51Bn from KES 39.74Bn in FY'24, suggesting pressure across both funded and non-funded income streams. Net interest income (NII) edged lower by 1.1% y/y to KES 24.08Bn, from KES 24.34Bn, largely attributable to a softer interest rate environment following monetary policy easing. Non-interest income (NFI) declined by 6.4% Y/Y to KES 14.43Bn, from KES 15.41Bn, primarily driven by a significant compression in foreign exchange margins. Notably, this was partially offset by increased transaction volumes and higher fee-based income, showcasing resilience in underlying business activity. The contraction in income lines points to normalization in market conditions following elevated gains in prior periods, particularly within FX trading, when the Kenyan currency was very volatile.
- **Asset Quality:** Asset quality improved during the period, while credit impairment decreased by 47.5% y/y to KES 1.63Bn, from KES 3.10Bn in FY'24. Notably, the Group's NPL ratio stood at 8.0%, below the industry average, underscoring a well-managed loan book and strong credit discipline. We observe that the decline in credit costs played a critical role in cushioning earnings, offsetting the impact of weaker revenue generation. This positions the Group favorably relative to peers in managing credit risk.

Operating Efficiency

Operating expenses increased to KES 17.96Bn, representing a 1.6% y/y growth from KES 17.67Bn in FY'24. Consequently, the cost-to-income ratio deteriorated to 46.6%, from 44.5% in the prior year, indicating weakened operational efficiency.

Management cited a balanced approach to investments and operational expansion, including continued investment in digital capabilities and platform enhancements. However, the combination of rising costs and declining income resulted in negative operating leverage during the period.

Balance Sheet Dynamics

Stanbic Holdings recorded strong balance sheet expansion, with total assets increasing by 19.0% y/y to KES 541.25Bn, from KES 454.38Bn. Total loans grew by 24.4% y/y to KES 366.53Bn, supported by increased credit demand across key segments, while total customer deposits increased by 23.5% y/y to KES 418.61Bn, reinforcing robust deposit mobilization in line with lending growth.

We note that the balance sheet expansion was well-funded, with deposit growth broadly keeping pace with loan growth, supporting liquidity, funding stability, and lending capacity.

Outlook

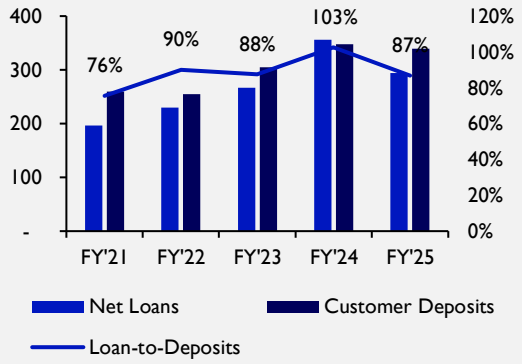
We foresee a gradual recovery in earnings, supported by sustained loan growth and improving asset quality. This outlook is further underpinned by recovering private sector credit demand and a more accommodative monetary environment, which are expected to support lending activity. The significant decline in credit impairment charges is expected to remain supportive of profitability in the near term. However, downside risks persist, particularly around continued pressure on non-interest income and potential margin compression in a lower interest rate environment.

Management cited a strategic focus on digital growth, transaction banking, and income diversification to support revenue resilience over the medium term, further highlighting opportunities in energy financing, particularly G2G oil importation, alongside growth in diaspora remittances, affordable housing, and public-private partnerships. Accordingly, we expect Stanbic Holdings to maintain a stable earnings profile, with upside potential anchored on a recovery in revenue growth.

Recommendation

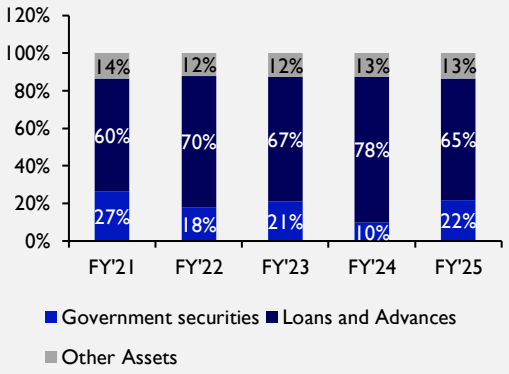
We maintain our HOLD recommendation on Stanbic Holdings Plc on account of strong balance sheet growth and improved credit quality. The current price level of KES 258.75 implies a 6.1% downside to our target price; however, the 8.6% dividend yield offsets this downside**.** At the current market price, the stock is trading at a P/E ratio of 7.5x and a P/B ratio of 1.3x. Our one-year target price for Stanbic currently stands at KES 243.03.

Chart 2: Improved Deposit Mobilization



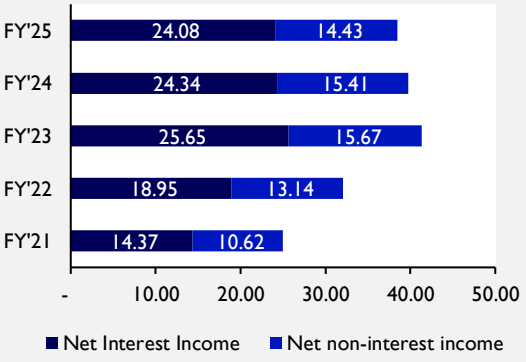
Source: Company filings, AIB-AXYS Research.

Chart 3: Asset Composition Mix



Source: Company filings, AIB-AXYS Research.

Chart 4: Earnings Mix



Source: Company filings, AIB-AXYS Research.



Income Statement (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y Change
Net Interest Income	14.37	18.95	25.65	24.34	24.08	▼ (1.0%)
Net non-Interest Income	10.62	13.14	15.67	15.41	14.43	▼ (6.4%)
Total Operating Income	**24.99**	**32.08**	**41.32**	**39.74**	38.51	▼ (3.1%)
Loan Impairment Provisions	(2.52)	(4.94)	(6.24)	(3.10)	(1.63)	▼ (47.5%)
Total Operating expenses	(15.23)	(19.91)	(24.22)	(17.67)	(17.96)	▲ 1.6%
Profit before tax	**9.76**	**12.17**	**17.09**	**18.97**	**18.93**	▼ (0.2%)
Profit after tax	**7.21**	**9.06**	**12.16**	**13.72**	**13.72**	▲ 0.0%
Core EPS Annualized	18.23	22.92	30.75	34.69	34.70	▲ 0.0%
DPS	9.00	12.60	15.35	20.74	22.35	▲ 7.8%

Balance Sheet (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y Change
Government Securities	59.54	83.55	45.34	99.19	108.08	▲ 9.0%
Loans and Advances to Bank and Customers	229.32	266.83	356.21	294.70	366.53	▲ 24.4%
Total Assets	**328.87**	**399.83**	**459.28**	**454.83**	**541.25**	▲ 19.0%
Customer Deposits from Banks and Customers	254.59	304.32	347.24	339.01	418.61	▲ 23.5%
Total Liabilities	272.42	337.63	390.73	379.43	461.10	▲ 21.5%
Total Equities and Liabilities	**328.87**	**399.83**	**459.28**	**454.83**	**541.25**	▲ 19.0%

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